



We can deploy any combination of analytical tools that makes sense together. It is a creative process to come up with such ideas and we will accept or reject the same by conducting backtests. There are no right answers here. Whatever we think, we can plot in on the graph and check the same. Focus on the combination that is being used and the logic behind it. The logic should make sense.

Now once we have hypothesized a strategy, the next thing is to check the same. We have been referring to back-testing these strategies quite persistently. So, to back-test a strategy, there is software where we can code our strategy and check the potential outcomes in the last N years, had we used the strategy. This is the way how expert traders back-test their strategies. Based on the test, the test result has the following details –

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- NUMBER OF TRADES IN THE GIVEN PERIOD
 - PROFIT MAKING TRADE %
 - LOSS MAKING TRADE %
 - AVERAGE PROFIT EARNED
 - AVERAGE LOSS EARNED
 - BROKERAGE PAID THROUGHOUT
 - VALUE OF RS. 1000 CURRENTLY (CAN BE ANY CUSTOM AMOUNT)
 - MAXIMUM DRAWDOWN